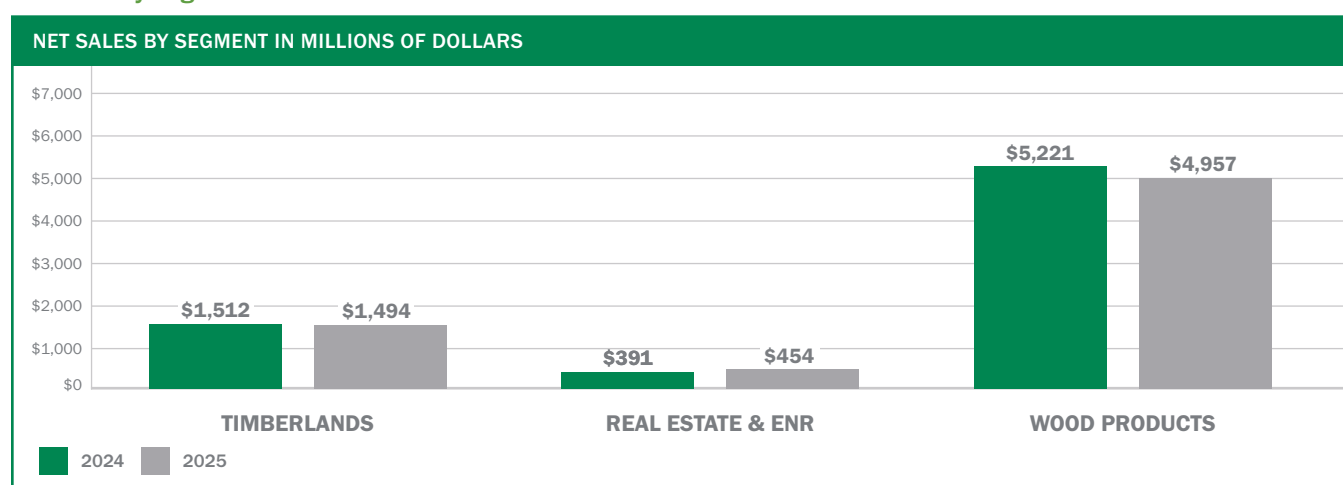


The condition of the labor market affects all of our businesses as it relates to our ability to attract and retain employees and contractors. The unemployment rate remained level at 4.4 percent in third quarter 2025 and fourth quarter 2025.

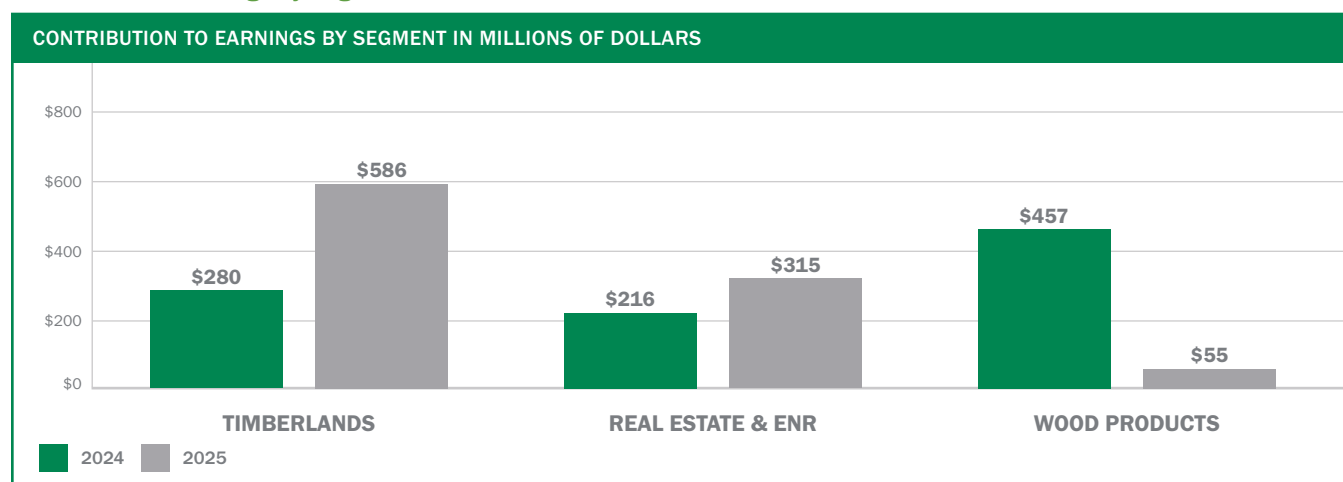
Governments and businesses across the globe have publicly expressed that climate change is a compelling issue requiring considerable responsive action; many have made significant commitments toward decarbonizing activities and operations and reducing greenhouse gas emissions. Achieving these commitments will require significant efforts, including modifying operations, investing in low-carbon technologies or purchasing credits to reduce environmental impacts. Although political and broader sentiment for climate change mitigation activities and related investments can fluctuate, we expect that over the long-term, climate change will continue to be a significant social concern and priority. With that in mind, we believe we are uniquely positioned to help others achieve climate change mitigation goals through our Climate Solutions business.

FINANCIAL PERFORMANCE SUMMARY

Net Sales by Segment



Contribution to Earnings by Segment



RESULTS OF OPERATIONS

In reviewing our results of operations, it is important to understand these terms:

- Sales realizations refer to net selling prices — this includes selling price plus freight minus normal sales deductions.
- Net contribution (charge) to earnings refers to earnings (loss) before interest expense and income taxes.

CONSOLIDATED RESULTS

HOW WE DID

Summary of Financial Results

DOLLAR AMOUNTS IN MILLIONS, EXCEPT PER-SHARE FIGURES			
			AMOUNT OF CHANGE
	2025	2024	2025 vs. 2024
Net sales	\$ 6,905	\$ 7,124	\$ (219)
Costs of sales	\$ 5,880	\$ 5,811	\$ 69
Operating income	\$ 731	\$ 685	\$ 46
Net earnings	\$ 324	\$ 396	\$ (72)
Basic and diluted earnings per share	\$ 0.45	\$ 0.54	\$ (0.09)

COMPARING 2025 WITH 2024

Net Sales

Net sales decreased \$219 million — 3 percent — primarily due to a \$264 million decrease in Wood Products net sales attributable to decreased sales realizations across most product lines, as well as an \$18 million decrease in Timberlands net sales to unaffiliated customers attributable to decreased log sales realizations and volumes in the Western region. These decreases were partially offset by a \$63 million increase in Real Estate, Energy and Natural Resources net sales attributable to an increase in average price per acre sold.

Costs of Sales

Costs of sales increased \$69 million — 1 percent — primarily due to increased sales volumes for structural lumber, oriented strand board and softwood plywood within our Wood Products segment, partially offset by a decrease in acres sold in our Real Estate, Energy and Natural Resources segment and decreased Western sales volumes in our Timberlands segment.

Operating Income

Operating income increased \$46 million — 7 percent — primarily due to:

- a \$266 million increase in gain on sale of timberlands (refer to: *Note 4: Timberland Acquisitions and Divestitures*);
- a \$43 million increase in insurance recoveries;
- a \$29 million gain on the sale of our Princeton lumber mill in third quarter 2025;
- a \$27 million decrease in general and administrative expenses and
- a \$10 million decrease in noncash impairment charges.

These changes were partially offset by:

- a \$288 million decrease in consolidated gross margin (see discussion of components above);
- a \$25 million decrease in product remediation recoveries received and
- an \$18 million noncash environmental remediation charge recorded in fourth quarter 2025.

Refer to the breakout of these items in *Note 17: Other Operating Costs, Net*.

Net Earnings

Net earnings decreased \$72 million — 18 percent — primarily due to a \$178 million increase in non-operating and other post-employment benefit costs, primarily attributable to a \$145 million noncash pension settlement charge (refer to: *Note 8: Pension and Other Post-Employment Benefit Plans*), as well as a \$31 million decrease in interest income and other. These changes were partially offset by a \$95 million decrease in tax expense (refer to *Income Taxes*) and the \$46 million increase in operating income discussed above.

TIMBERLANDS

HOW WE DID

We report sales volumes and fee harvest volumes for our Timberlands segment in *Our Business/What We Do/Timberlands*.

Net Sales and Net Contribution to Earnings for Timberlands

DOLLAR AMOUNTS IN MILLIONS			
	AMOUNT OF CHANGE		
	2025	2024	2025 vs. 2024
Net sales to unaffiliated customers:			
Delivered logs:			
West	\$ 645	\$ 693	\$ (48)
South	613	603	10
North	50	46	4
Total	1,308	1,342	(34)
Stumpage and pay-as-cut timber	60	51	9
Recreational and other lease revenue	79	77	2
Other products ⁽¹⁾	47	42	5
Subtotal net sales to unaffiliated customers	1,494	1,512	(18)
Intersegment net sales	592	554	38
Total segment net sales	\$ 2,086	\$ 2,066	\$ 20
Costs of sales	\$ 1,664	\$ 1,686	\$ (22)
Operating income	\$ 586	\$ 279	\$ 307
Interest income and other	—	1	(1)
Net contribution to earnings	\$ 586	\$ 280	\$ 306
(1) Other products include sales of seeds and seedlings from our nursery operations and wood chips.			

COMPARING 2025 WITH 2024

Net Sales — Unaffiliated Customers

Net sales to unaffiliated customers decreased \$18 million — 1 percent — primarily due to a \$48 million decrease in Western log sales attributable to a 4 percent decrease in sales volumes and a 3 percent decrease in sales realizations. This decrease was partially offset by a \$10 million increase in Southern log sales attributable to a 1 percent increase in sales volumes, as well as a \$9 million increase in stumpage and pay-as-cut timber sales attributable to increased sales realizations and sales volumes.

Intersegment Sales

Intersegment sales increased \$38 million — 7 percent — primarily due to a 3 percent increase in sales realizations, as well as a 3 percent increase in sales volumes.

Costs of Sales

Costs of sales decreased \$22 million — 1 percent — primarily due to decreased Western sales volumes, partially offset by increased Southern sales volumes.

Net Contribution to Earnings

Net contribution to earnings increased \$306 million — 109 percent — primarily due to a \$266 million increase in gain on sale of timberlands (refer to *Note 4: Timberland Acquisitions and Divestitures*), as well as the change in the components of gross margin, as discussed above.

REAL ESTATE, ENERGY AND NATURAL RESOURCES

HOW WE DID

We report acres sold and average price per acre for our Real Estate, Energy and Natural Resources (Real Estate & ENR) segment in *Our Business/What We Do/Real Estate, Energy and Natural Resources*.

Net Sales and Net Contribution to Earnings for Real Estate, Energy and Natural Resources

DOLLAR AMOUNTS IN MILLIONS			
	AMOUNT OF CHANGE		
	2025	2024	2025 vs. 2024
Net sales to unaffiliated buyers:			
Real estate	\$ 330	\$ 280	\$ 50
Energy and natural resources	124	111	13
Total segment net sales	\$ 454	\$ 391	\$ 63
Costs of sales	\$ 117	\$ 152	\$ (35)
Operating income and Net contribution to earnings	\$ 315	\$ 216	\$ 99

The volume of real estate sales is a function of many factors, including the general state of the economy, demand in local real estate markets, the ability of buyers to obtain financing, the number of competing properties listed for sale, the seasonal nature of sales, the plans of adjacent landowners, our expectations of future price appreciation, the timing of harvesting activities and the availability of government and not-for-profit funding. In any period, the average price per acre will vary based on the location and physical characteristics of parcels sold.

COMPARING 2025 WITH 2024

Net Sales

Net sales increased \$63 million — 16 percent — primarily due to an increase in average price per acre sold and an increase in right-of-way easements and royalty income from our Energy and Natural Resources business, partially offset by a decrease in acres sold.

Costs of Sales

Costs of sales decreased \$35 million — 23 percent — primarily due to a decrease in acres sold.

Operating Income and Net Contribution to Earnings

Operating income and net contribution to earnings increased \$99 million — 46 percent — primarily due to the change in the components of gross margin, as discussed above.

WOOD PRODUCTS

HOW WE DID

We report sales volumes and annual production data for our Wood Products segment in *Our Business/What We Do/Wood Products*.

Net Sales and Net Contribution to Earnings for Wood Products

DOLLAR AMOUNTS IN MILLIONS			
AMOUNT OF CHANGE			
	2025	2024	2025 vs. 2024
Net sales:			
Structural lumber	\$ 2,037	\$ 1,906	\$ 131
Oriented strand board	762	979	(217)
Engineered solid section	649	708	(59)
Engineered I-joists	343	390	(47)
Softwood plywood	155	158	(3)
Medium density fiberboard	135	159	(24)
Complementary building products	565	615	(50)
Other products produced ⁽¹⁾	311	306	5
Total segment net sales	\$ 4,957	\$ 5,221	\$ (264)
Costs of sales	\$ 4,674	\$ 4,516	\$ 158
Operating income and Net contribution to earnings	\$ 55	\$ 457	\$ (402)
(1) Other products produced sales include wood chips, other byproducts and third-party residual log sales from our Canadian Forestlands operations.			

COMPARING 2025 WITH 2024

Net Sales

Net sales decreased \$264 million — 5 percent — primarily due to:

- a \$217 million decrease in oriented strand board sales attributable to a 25 percent decrease in sales realizations, partially offset by a 4 percent increase in sales volumes;
- a \$59 million decrease in engineered solid section sales attributable to a 7 percent decrease in sales realizations and a 1 percent decrease in sales volumes;

- a \$50 million decrease in complementary building products sales attributable to a decrease in sales volumes across most products;
- a \$47 million decrease in engineered I-joist sales attributable to a 7 percent decrease in sales realizations and a 5 percent decrease in sales volumes;
- a \$24 million decrease in medium density fiberboard sales attributable to a 14 percent decrease in sales volumes and a 1 percent decrease in sales realizations and
- a \$3 million decrease in softwood plywood sales attributable to a 7 percent decrease in sales realizations, partially offset by a 5 percent increase in sales volumes.

These decreases were partially offset by a \$131 million increase in structural lumber sales attributable to a 5 percent increase in sales volumes and a 1 percent increase in sales realizations, as well as a \$5 million increase in other products produced sales attributable to an increase in wood chip sales volumes.

Costs of Sales

Costs of sales increased \$158 million — 3 percent — primarily due to increased sales volumes for structural lumber, oriented strand board and softwood plywood.

Operating Income and Net Contribution to Earnings

Operating income and net contribution to earnings decreased \$402 million — 88 percent — primarily due to the change in the components of gross margin, as discussed above, as well as a \$25 million product remediation recovery recorded in second quarter 2024. These changes were partially offset by a \$10 million noncash impairment charge related to the indefinite curtailment of our New Bern lumber mill recorded in third quarter 2024 and a \$29 million gain related to the sale of our Princeton lumber mill recorded in third quarter 2025 (refer to the breakout of these items in *Note 17: Other Operating Costs, Net*).

UNALLOCATED ITEMS

Unallocated items are gains or charges not related to, or allocated to, an individual operating segment. They include all or a portion of items such as:

- share-based compensation,
- pension and post-employment costs,
- elimination of intersegment profit in inventory and LIFO — the last-in, first-out method,
- foreign exchange transaction gains and losses resulting from changes in exchange rates primarily related to our U.S. dollar denominated cash and debt balances that are held by our Canadian subsidiary, as well as
- interest income and other.